

to a successful momentum strategy is taxes, but one can attempt to minimize this by allocating to momentum in a tax-deferred account (IRA, 401(k)) or through a momentum exchange-traded fund (ETF).

Combining Value and Momentum

Our prior analysis supports the notion that simple value and simple momentum models can be effective security selection tools. But what happens when we combine these two security selection procedures? We test the following strategy from July 1, 1963, through December 31, 2014: The Simple Value portfolio is formed on July 1 of year t and held until June 30 of year $t + 1$. This portfolio is an equal-weight portfolio of the top decile of firms formed on EBIT/TEV. The Simple MOM portfolio is formed at a monthly frequency. We form portfolios of firms above the NYSE 40th percentile for market capitalization to avoid issues associated with micro and small-cap stocks (as of December 31, 2014, the minimum size company would be \$1.9 billion). The assumption is to buy at the close on the last day of the month, and hold until the close of the last day of the month. This portfolio is formed by buying the top decile of firms formed on their cumulative returns over the past 12 months, ignoring the last month.

We also show the returns to a portfolio, which allocates 50 percent to Simple Value, and 50 percent to Simple MOM. The assumption is that the allocation between the Value and Momentum portfolios is reset to 50/50 at the end of each month. [Table 8.7](#) shows the returns for the portfolios described.